

Entrepreneurship and crisis mutation in Greece: A neo-Schumpeterian approach

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Abstract

This article attempts an analysis of entrepreneurship by taking into account the socio-economic development/crisis dipole under the prism of the experience of the Greek crisis. After presenting a neo-Schumpeterian and evolutionary perception of development, it discusses the present crisis of entrepreneurship in Greece. Based on the “Stra.Tech.Man approach” (strategy-technology-management synthesis) it distinguishes the central “physiological” types of the firms operating in Greece. After identifying the “monad-centered” type as the “dominant” and idiosyncratic type of entrepreneurship in Greece, it discusses the implications. This type of firm bases its strategy on a peculiar “business instinct,” uses technological options in a sporadically way, and implements managerial decisions based solely on its practical experience. This discussion also lays the ground for possible policy implications. The “Institutes of Local Development and Innovation” are a policy proposal aiming at boosting the physiological mutation of the locally active firms and enhancing the innovative local entrepreneurial potential in Greece.

Keywords

Entrepreneurship and innovation; Development-crisis dipole; Greek socio-economic crisis; Firm physiology; Stra.Tech.Man approach; Institutes of Local Development and Innovation.

JEL codes: L26, O1

1. Introduction

Koronis and Vlados (2019) suggest studying how firm innovation can initiate socio-economic development in today’s Greece, which seems to enter a new trajectory of development after a deep structural crisis and readjustment. Even though the Greek economy seems to be slightly improving in terms of human capital and entrepreneurship, it still deals with structural problems (European Commission, 2019).

For several years, a “narrow-sighted” approach to institutional reforms prevailed in Greece, and weak entrepreneurship and a relative insufficiency of the overall competitiveness of the national socio-economic system played a significant role in this direction (Vlados & Chatzinikolaou, 2019b). In this relatively underdeveloped and maladaptive institutional background, most firms in Greece (in particular, the SMEs) must probably need to readjust the way they operate and articulate their

strategy, technology, and management towards more efficient ways (Vlados et al., 2019).

This paper aims first to point out the significance of entrepreneurship in the development and crisis of the Greek socio-economic system. Second, it analyzes how the stimulation of innovative entrepreneurship can drive the Greek economy to improve its competitiveness in overall terms and, therefore, it draws possible policy implications.

The next section introduces the discussion of evolutionary crisis and development as related phenomena from a Schumpeterian perspective and explores on this basis the structural deficiencies of entrepreneurship in Greece. The subsequent section presents the structural morphology of the Greek entrepreneurial ecosystem, and the last section points to a policy proposal of enhancing entrepreneurship, in particular at the local level.

2. Neo-Schumpeterian development/crisis dipole and uncompetitive entrepreneurship in Greece

Schumpeter was one of the first economists to notice the structural relationship between innovative entrepreneurship and overall socio-economic development. Schumpeter (1942, pp. 82–83) argued that the capitalist enterprise is the primary impetus that drives the motor of capitalism because it introduces new products and methods of production.

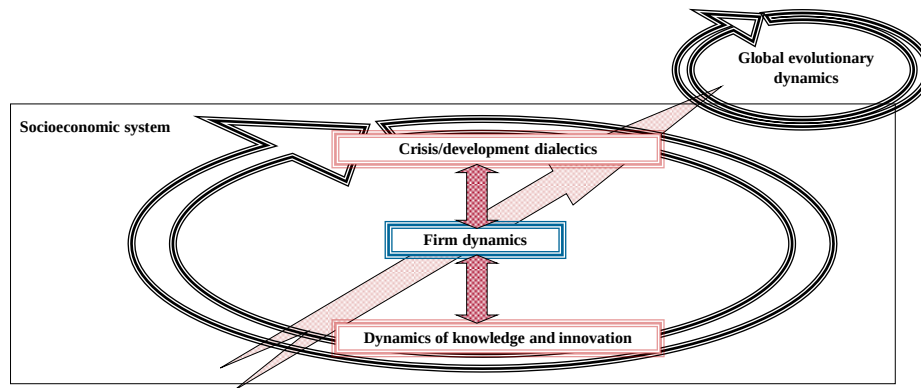
Innovation, in particular, produces incessantly and unavoidably structural changes in capitalism, which cannot be stationary (Schumpeter, 1942, p. 31): the inherent revolution in capitalism results from the motivated entrepreneur, who seeks for profits. Schumpeter (1939, p. 223) also emphasized the dialectic relationship between historical cycles of crisis and development in capitalism, in the form of “waves.” The force of “creative destruction” signified for Schumpeter (1942, pp. 81–86) the “natural” replacement of previous norms, which lays the ground for new conditions to appear and establish their position in the socio-economic system.

From these initial evolutionary observations, some economists who view themselves as neo-Schumpeterians started to emerge by emphasizing the role of the evolution of the primary agent of capitalism, that is, the capitalist firm. According to Nelson and Winter (1982, p. 205), the firm is not an “automatic” transformer of inputs into outputs, which the standard neoclassical maximization rationale suggests. To this end, the firm resembles more to a biological “organism” that behaves according to specific routines and capabilities.

Today, this stream of neo-Schumpeterianism presents similar implications, which stem from the evolutionary direction of the firm. For example, Nooteboom (2008) argues that firms evolve through emergence rather than the rational neoclassical design. This biological interpretation of the firm means that we can discuss its particular “life cycle” and its “neo-Darwinian” survival (Coad, 2010; Etemad, 2017).

The neo-Schumpeterian view of the socio-economic system as a multi-layer system of “organisms” means that the overall capitalist evolution is a dialectical and infinite “elevating cycle” of crisis and development (Figure 1). To this end, despite earlier relatively simplistic predictions (Fukuyama, 1992; Ohmae, 1999), globalization nowadays seems far from being a finalized process (Vlados et al., 2018).

Figure 1: Crisis/development dialectics and dynamics of knowledge and innovation

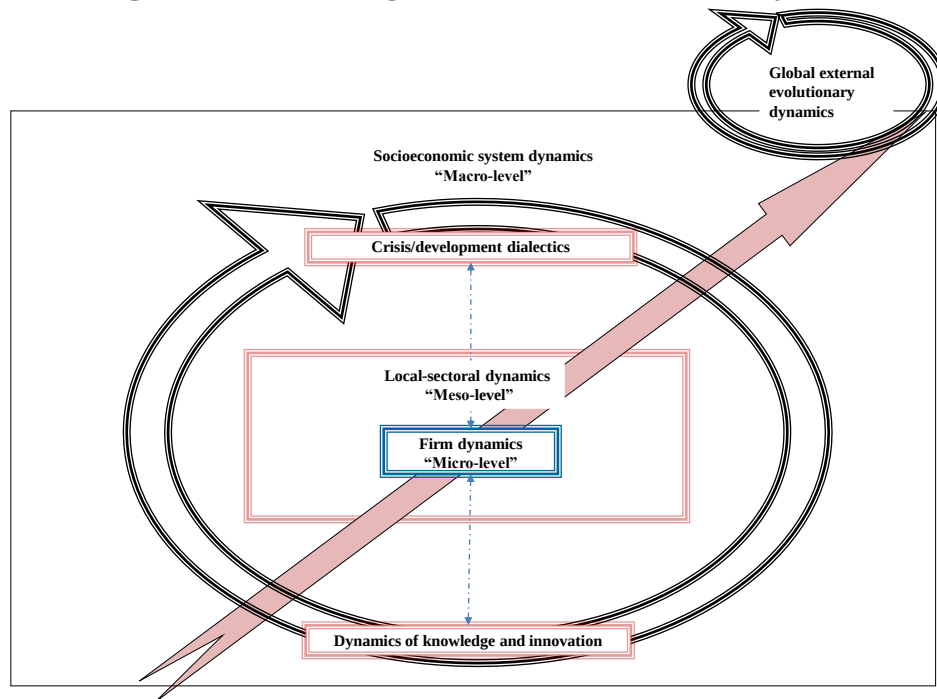


In this context of perpetual turbulence and continual readjustment—and within also the present phase of crisis and restructuring of globalization—the Greek socio-economic system appears to be facing a deep structural crisis. A significant number of economists insist on the aspects of competitiveness and the lack of innovation that hinder socio-economic development in Greece. The Greek economy is not innovation-intensive since the majority of its firms are small, relatively weak in overall competitiveness terms, and cannot favor high industrial growth (Herrmann & Kritikos, 2013). The SMEs in Greece are mostly family-owned enterprises that face human capital development issues, complemented by a highly bureaucratic institutional background and unstable fiscal conditions (Vassiliadis & Vassiliadis, 2014). This institutional deficiency of the Greek economy as a whole (Williams & Vorley, 2015) also intensifies inherent managerial problems within the majority of the Greek SMEs (Giannacourou et al., 2015; Sainis et al., 2016).

Greece also faces one of the most significant tax disparities in contrast with other developed economies, which suggests a deliberate tax evasion on the part of SMEs (Kaplanoglou et al., 2016). Mostly from direct necessity, several firms relocated during the crisis years to “cheapest” neighboring countries (Kapitsinis, 2019), something indicative of the relative underdevelopment of the Greek firms in terms of high skills and orientation towards specialized knowledge (Christopoulou & Monastiriotes, 2016; Panagiotakopoulos, 2015). At the same time, it becomes apparent that this is a structural crisis that also creates demographic and societal problems, such as the “brain drain” phenomenon (Ifanti et al., 2014; Labrianidis & Vogiatzis, 2013). To this end, a growth- and export-oriented entrepreneurship seems crucial nowadays for the exit from the crisis, although the immediate fiscal crisis seems to be over, and GDP has been rising for several quarters (Giotopoulos et al., 2017; Giotopoulos & Vettas, 2018).

These observations help to enrich the analysis of the Greek crisis into the micro-competitiveness of the firm and the meso-level of the agglomeration of local firms (Figure 2).

Figure 2: Multi-level competitiveness of the socio-economic system



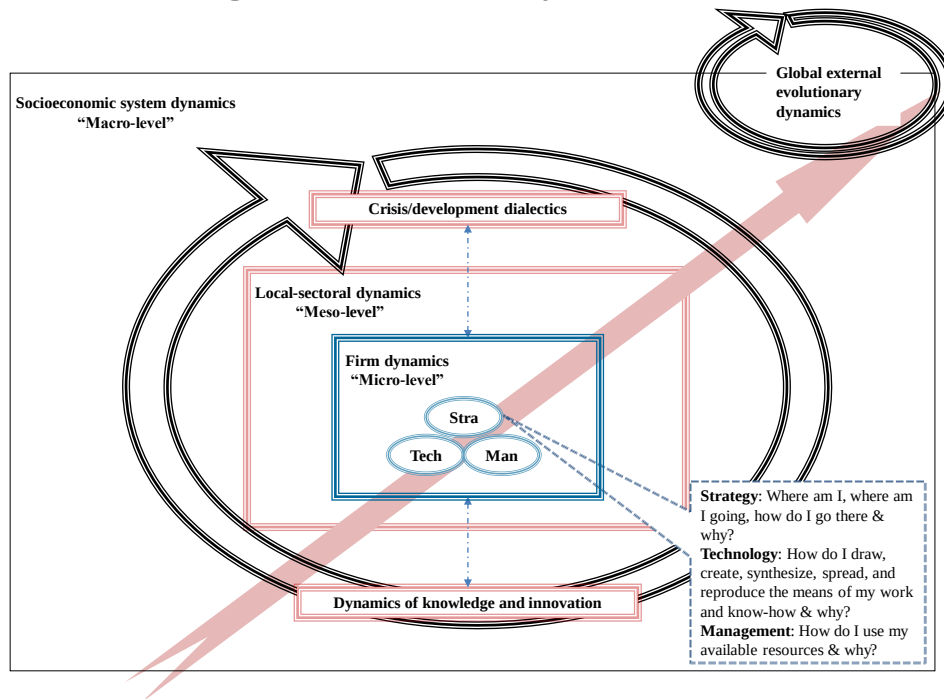
In this perspective, the overall competitiveness of a socio-economic system is an evolutionary micro-meso-macro synthesis (Esser et al., 2013; Peneder, 2017). In the process of globalized capitalism, all socio-economic agents replicate their “correlative” competitive strengths and weaknesses, in the sense that development is a comparative rather than an “absolute” process (Vlados, 2019). The competitiveness of every socio-economic “organism” (Balkytė & Tvaronavičienė, 2010) means the ability to adapt (and eventually change) to the conditions of the external environment (Vlados & Chatzinikolaou, 2019c).

Therefore, the Greek socio-economic system’s crisis is essentially a crisis of competitiveness, the substance of which lies primarily at the micro-level of the firm. Especially in Greece, most firms seem to be subject to structural shortcomings, mainly due to their low competitiveness and innovation performances. The next segment explores the issue of the structural idiosyncrasies and morphology of the Greek socio-economic business environment.

3. The morphology of the entrepreneurial environment in Greece

According to Vlados (2004, 2012), the Greek business ecosystem hosts firms of different entrepreneurial “species.” The enterprises in Greece have distinct “Stra.Tech.Man physiologies,” in the sense that they develop the internal dialectical domains of their strategy, technology, and management differently. Three questions of “Stra.Tech.Man” origin govern all socio-economic “organisms”: strategy is “where am I, where am I going, how do I go there and why?” Technology is “how do I draw, create, synthesize, spread, and reproduce the means of my work and know-how and why?” Management is “how do I use my available resources and why?” (Figure 3)

Figure 3: The Stra.Tech.Man dynamics of the firm



The manners in which the socio-economic “organisms” synthesize the three Stra.Tech.Man areas, besides their innovative potential, define the overall development and crisis capacity of the socio-economic system. According to the “physiological” typology suggested by Vlado (2004), three primary categories of entrepreneurial development exist in Greece: the “monad-centered,” the “massive,” and the “flexible” entrepreneurship.

In this perspective, the competitiveness of the Greek socio-economic system is still low because the vast majority of the firms are “monad-centered” (Vlado & Chatziniolaou, 2019a). These firms “harness” an instinctive strategy, they pick technological resources sporadically and in a shortsighted manner, and the everyday business practice and experience prevail at the overall management sphere. Tables 1-3 present the three types of firms in terms of strategy, technology, and management.

Table 1: How the three Stra.Tech.Man physiological types of firms view their strategy

“Monad-centered”	“Massive”	“Flexible”
• The strategy is instinctive and there is no strategic systematization. • There is a pursuit of a “narrow” profit and avoidance of risk-taking. • Business planning is informal. The business owner is the sole responsible. • The monitoring of the external/internal environment is superficial. • The overall strategic concept is a peculiar mixture of “opportunism” and “conservatism.”	• Strive for mechanistic effectiveness and achievement of quantifiable projects. • The business plan is “strictly systematic” and “bureaucratic.” • The internal environment analysis follows a measurement and control of the operational efficiency and the respective external a recording of the existing situation. • The top executives are responsible for the strategic analysis, which is “introverted” and rarely “escapes” the boundaries of the corporation.	• The strategy is an evolutionary conceptualization. • The business plan composes socio-economic dimensions and analyzes their historical development. • The environmental analysis is “organic” since the firm is a co-creator of developments. • The strategic analysis is multilevel and “cross-departmental.” • The bold socio-economic vision exceeds any short- or long-term profitability aspirations.

Table 2: How the three Stra.Tech.Man physiological types of firms view their technology

“Monad-centered”	“Massive”	“Flexible”
• There is sporadic exploitation of	• This firm exercises linear	• There is networking

technological opportunities. • Better standardization is “synonym” to technology creation. • Technology adoption is an obstacle to overcome while the business owner is responsible for technological diffusion and implementation. • There are technological projects of low benefit and limited effort to evaluate the technological effort.	exploitation of already used technologies in the internal value chain. • The technology acquisition of quantifiable steps and measurable efficiency are the criteria for technology creation. • There is a mechanistic technological adoption and diffusion on specific departments, while the senior executive in the hierarchy is responsible for the implementation. • Technological evaluation is a “rally” of quantitative improvements.	conceptualization based on interactive technological data and dynamic technological acquiresments. • It strives for sophisticated technological adoption that targets a continuous qualitative upgrade. • There is a simultaneous and integrated understanding of technology between individuals and groups. • Cross-departmental technological diffusion and implementation since the creativity of a department can spill over to the others. • The overall technological efficiency and integration of most qualitative dimensions are the evaluation criteria.
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Table 3: How the three Stra.Tech.Man physiological types of firms view their management

“Monad-centered”	“Massive”	“Flexible”
• The practical experience is the central logic. • There is no organizational chart and to overcome pressing problems is the process of “management.” • The practical experience in the field is the recruitment criterion, and human resources are unnecessary since the business must survive in the pressing competitive conditions. • Motivation derives from a peculiar pattern of “paternalism” that makes the employees trust the sole responsibility of the “boss.” • The control is a matter of “fluctuating strictness” by the boss, who usually communicates the problem after its manifestation in the business.	• The strict specialization across the hierarchy is the central logic. • Management planning follows monthly or yearly quantitative goals, based on a detailed organization chart. • Human resources development means the recruitment of qualified specialists in specific functional areas. • The motivation is quantitatively predetermined, while leadership follows rigorous routines and rules. • Control is a matter of formal reports, and communication is usually top-down and linear.	• There is a participatory rationale. • Management planning focuses on qualitative upgrade through merging decentralized forces under the socio-economic vision of the organization. • Human resources development is a matter of finding a hardworking partner that can be creative in all the organizational aspects. • Motivation is mostly an idealistic aspiration, while openness and consensus in leadership are the primary forces. • There is decentralization in control, which derives from the self-evaluation of the employee and the inspection of partial projects. • Coordination and communication are diagonal and happen in interactive networks.

The three forms of “Stra.Tech.Man physiology” means that some firms (as socio-economic organizations or “organisms”) have structural and “physiological” differences. In that sense, the environment hosting them and—in this case, a relatively weak Greek socio-economic system—absorbs the effects of their innovative capacity or incapacity. The fact that “monad-centered” firms are the majority in Greece signifies a “dominant” less formal way of doing business, not including many components of modern capitalist productivity and efficiency. Despite lagging in productivity, the reason they continue to survive in the current crisis and restructuring conditions of globalization is that the relatively “chaotic” Greek socio-economic system still favors them.

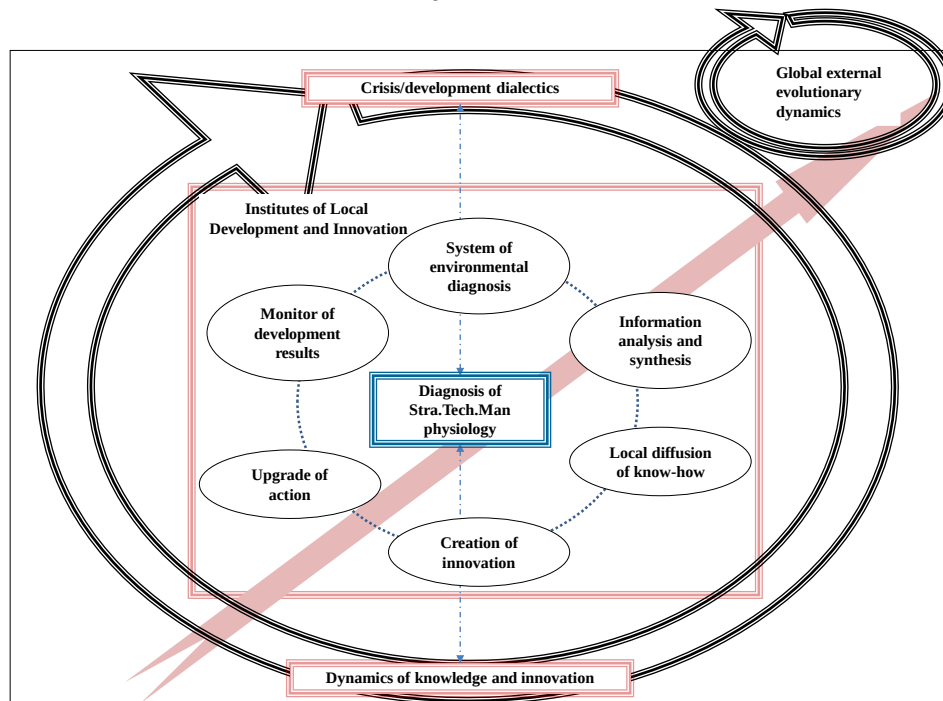
For Greek entrepreneurship, the problem is how to deal with today’s increasingly globalized competition. The physiological analysis suggests that the “monad-centered” type of firm has to “hybridize” into more systematic forms of entrepreneurship by improving its strategic, technological, and managerial innovative capacity (Ghosh & Ray, 2017; McMullen, 2018). This direction would improve the potential for innovation and competitiveness of the Greek socio-economic system as a whole.

4. Final remarks

This article illustrated that entrepreneurship is the most critical determinant of general socio-economic development. It identified the “physiological” typology of the Greek firms based on their internal structure in the fields of strategy, technology, and management (Stra.Tech.Man approach), and acknowledged their impact on the continuing structural crisis in Greece.

The Greek socio-economic system favors an idiosyncratic type of entrepreneurial physiology (“monad-centered” type), in which most firms express their strategy based on instinctive decisions, technology follows a sporadic perception and implementation, and practical experience is the primary “manifestation” of management. Therefore, the improvement of competitiveness, especially for small, medium-sized, and family-focused enterprises, seems a priority for a new competitiveness policy. According to Vlado and Chatzinikolaou (2019c), the Institutions of Local Development and Innovation (ILDIs) constitute such a policy that the Greek government could implement (Figure 4).

Figure 4: Local Development and Innovation Institutes in the context of the Greek socio-economic system



The scope of these institutes is to connect uncoordinated actors at the local level, such as local government, universities, and local businesses (see the “triple helix theory”; Etzkowitz & Leydesdorff, 1998). The goal is to foster local entrepreneurship by diagnosing the Stra.Tech.Man potential of innovation.

This mechanism of ILDI, which could operate in the Greek regions, follows six steps:

- ❖ First, it proceeds with an environmental diagnosis.
- ❖ Second, it analyzes and composes the available information.
- ❖ Third, it diffuses the expertise at the local level.
- ❖ Fourth and fifth, it aims at creating innovation and upgrading the action of the locally established firm.
- ❖ Sixth, it builds a monitoring mechanism to evaluate the results and start over.

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